

Institutional Scorecard

Risk Intensity	10.0/10
Confidence	6.5/10
Regime Sensitivity	4.0/10
Structural Quality	3.0/10
Composite	3.1/10

Forensic Flags

- [HIGH] roe_decline: ROE declined 1140 bps over 4 periods
- [MEDIUM] roa_decline: ROA declined 640 bps over 2 periods
- [HIGH] valuation_fragility: Current P/BV 27.8x implies ROE of 96.4%, exceeding historical peak of 51.8%
- [MEDIUM] guidance_divergence: ROA diverged 21.8% from prior period
- [MEDIUM] guidance_divergence: ROE diverged 31.3% from prior period

- [HIGH] roe_collapse_despite_profit_growth: ROE collapsed from 51.8% (FY24) to 35.6% (FY25) – a 1,620 bps decline – despite PAT growing 28.1% to \$7,291M. Equity base expanded faster than earnings due to retained earnings accretion + \$7,957M capex. ROE trajectory suggests diminishing marginal returns on incremental capital employed.

- [HIGH] capex_overshoot_fcf_negative: Capex of \$7,957M in FY25 exceeds PAT of \$7,291M – free cash flow deeply negative at operating level. ~\$4,900M EBITDA after interest/tax leaves insufficient headroom. This is the highest capex year in Page's history and implies the company is borrowing or drawing down cash to fund expansion.

- [MEDIUM] volume_growth_deceleration_versus_revenue: Volume grew 8.5% in Q4 FY25 (49.2M pieces) while revenue grew 10.6% – spread of ~210 bps suggests pricing power. However, full-year revenue growth decelerated to 8.4% vs ~17-18% in prior two years. Volume trajectory needs monitoring: if deceleration continues, margin expansion from operating leverage will stall.

- [HIGH] single_brand_concentration_risk: Page Industries derives ~100% of revenue from Jockey-branded products under an exclusive license from Jockey International (US). License extended to December 31, 2040 (Business Standard, June 2018) – but the master franchise model creates structural dependency. Any degradation in Jockey's global brand equity, license renegotiation friction, or brand-related litigation would have a direct, non-diversifiable revenue impact.

- [MEDIUM] premium_valuation_pricing_in_perfection: Trailing PE of 50.6x and PBV of 27.8x imply the market is capitalizing current ROE of 35.6% at a multiple that assumes sustained growth. PBV of 27.8x implies the market is pricing in a ~30%+ ROE perpetuity at a 10% cost of equity (Gordon Growth: $P/BV = ROE/Ke$). Any ROE mean reversion below 30% would imply 20-30% downside risk to current valuation.

- [MEDIUM] inventory_volatility_working_capital_cycles: Inventory days swung from 69 (FY22) to 103 (FY24) and back to 71 (FY25) – a 34-day swing representing ~\$4,800M of working capital at FY25 revenue run rate. The apparel industry faces seasonal and fashion-cycle inventory risk. While FY25 improvement is positive, the volatility pattern suggests inventory management is not structurally optimised.

****Executive Summary****

Page Industries Limited's (PAGEIND) valuation appears fragile, with a trailing P/BV of 27.8x and PE of 50.6x, implying a sustained growth assumption. However, the company's ROE has declined 1,140 bps over four periods, and the ROE trajectory suggests diminishing marginal returns on incremental capital employed. Furthermore, capex has exceeded PAT in FY25, resulting in negative free cash flow at the operating level. These factors contribute to an elevated risk profile, warranting caution in position sizing and expected return assumptions.

****Key Analytical Observations****

- 1. **ROE Decline and Diminishing Marginal Returns**: ROE has declined from 51.8% (FY24) to 35.6% (FY25), a 1,620 bps decline, despite PAT growing 28.1% to ₹7,291M. This suggests diminishing marginal returns on incremental capital employed.
- 2. **Capex Overshoot and Negative Free Cash Flow**: Capex of ₹7,957M in FY25 exceeds PAT of ₹7,291M, resulting in negative free cash flow at the operating level. This implies the company is borrowing or drawing down cash to fund expansion.
- 3. **Valuation Fragility**: The trailing P/BV of 27.8x and PE of 50.6x imply a sustained growth assumption, which may not be justified given the ROE decline and capex overshoot.
- 4. **Inventory Volatility and Working Capital Cycles**: Inventory days have swung significantly over the past few years, representing a substantial working capital risk. While FY25 improvement is positive, the volatility pattern suggests inventory management is not structurally optimised.
- 5. **Single-Brand Concentration Risk**: Page Industries derives ~100% of revenue from Jockey-branded products under an exclusive license from Jockey International (US). Any degradation in Jockey's global brand equity, license renegotiation friction, or brand-related litigation would have a direct, non-diversifiable revenue impact.

Supporting Evidence

- * FY25 capex of ₹7,957M exceeds PAT of ₹7,291M, resulting in negative free cash flow at the operating level.
- * ROE has declined from 51.8% (FY24) to 35.6% (FY25), a 1,620 bps decline.
- * Trailing P/BV of 27.8x and PE of 50.6x imply a sustained growth assumption.
- * Inventory days have swung from 69 (FY22) to 103 (FY24) and back to 71 (FY25), representing a substantial working capital risk.
- * Page Industries derives ~100% of revenue from Jockey-branded products under an exclusive license from Jockey International (US).

Institutional Assessment

Given the elevated risk profile, we recommend that concentrated long-only PMS funds with a 3-5 year holding horizon exercise caution in position sizing and expected return assumptions. The company's valuation appears fragile, and the ROE decline and capex overshoot suggest diminishing marginal returns on incremental capital employed. Furthermore, the single-brand concentration risk and inventory volatility working capital cycles represent significant risks that need to be carefully monitored.

Risk Matrix

Vector	Direction	Relevance
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ROE Decline	Down	High
Capex Overshoot	Up	High
Valuation Fragility	Up	High
Inventory Volatility	Up/Down	Medium
Single-Brand Concentration Risk	Down	High
Guidance Divergence	Up/Down	Medium
Premium Valuation Pricing	Up	Medium

Note: The risk matrix is a subjective assessment of the risks associated with Page Industries Limited and should not be considered as investment advice.